

Alinma Bank (Tadawul: 1150)

Fundamental analysis • Technical analysis • Monte Carlo simulation — one integrated read

Anchor: SAR 24.00 (07 Jul 2026 close) • 3,000mn shares issued (12.8mn treasury; capital SAR 30bn after the Jan-2026 1-for-5 bonus) • market cap ≈ SAR 72bn • per-share figures on the 3,000mn issued basis.

READ FIRST — what this study is, and is not. An educational, independent valuation study. It presents fair-value ranges and probability distributions — never a rating, never a target price, never a recommendation.

Two clocks, never blended. The fundamental fair value (~SAR 27.3) is a ~12-month anchor. Only the Monte Carlo T+20/T+60 percentiles are genuine 3-month figures. The MC drift deliberately excludes the fundamental value gap (lens independence).

The simulation's honesty tier. Step-0 verdict: PARITY under the market-panel gate — a calibrated distribution, market-panel validated; no single-name forecasting edge is claimed.

Flagged inputs. SAR 10Y risk-free is constructed (UST + Saudi Aa3/CDS spread) pending a SAGBI/iBoxx print; beta is a genuine but short-window regression; the Tier-1 sukuk split of equity is assembled from issuance records. All are Fundamental Driver Ledger rows.

Headline

The model's read: modestly undervalued, on the condition that Alinma converts its growth into a durable ~16% through-cycle ROE. Five fundamental lenses put fair value at SAR 19.9–31.2 with a weighted central of ~SAR 27.3 against a SAR 24.00 spot (+14%). The entire gap is a cost-of-equity argument: at our regressed beta the stock is cheap; at beta = 1.0 it is roughly fairly priced.

The bear case, stated fairly. The market is not obviously wrong. A ~2.1× multiple on common book for an 18.7% ROE bank implies a cost of equity near 9.2% — inside our own published Ke band (8.5–10.5%). If NIM compression runs past the guided glide as SAMA follows Fed cuts, if deposit competition keeps repricing the funding side, or if the growth phase demands more retained capital than the ~50% payout allows, the premium to book compresses and today's price needs no correction at all. The upside case requires the ROE glide to hold, not merely the volume growth.

Valuation summary — every read at a glance

One table for the reads that follow — what the bank is worth (fundamental), what the tape is doing (technical), what the next quarter's probabilities look like (Monte Carlo), and what three orthogonal experts conclude. The horizons differ by design and are never blended.

Read	Fair value / signal	vs spot	Horizon
FUNDAMENTAL			
Dividend discount (primary)	SAR 31.2	+30%	~12m anchor
Residual income	SAR 28.4	+18%	~12m anchor
Equity DCF (FCFE)	SAR 23.8	-1%	~12m anchor
Relative multiples	SAR 25.7	+7%	spot-relative
Normalized floor	SAR 19.9	-17%	through-cycle
TECHNICAL			
MA stack / RSI / MACD	Price below MA20/50/100; RSI	corrective	weeks

	11; MACD histogram -0.14		
MONTE CARLO			
T+60 median (50% band)	SAR 24.00 (22.82–25.24)	-0.0%	3 months
EXPERT PANEL			
Three-lens span (App. C)	SAR ~21.5–29.5	straddles spot	method-dependent
WEIGHTED CENTRAL	SAR 27.3	+13.8%	fundamental clock

Bottom line. The fundamental lenses point one way — spot below fair — and disagree only on distance (the Ke crux). The tape is corrective under a falling MA stack, and the three-month simulation is honestly flat: the carry anchor nets to ~zero because Alinma's ~4.2% dividend yield approximately equals the Saudi risk-free, so the expected total return over the quarter arrives as dividend, not price.

Company overview — Alinma Bank at a glance

Item	Detail
Franchise	Fastest-growing large Saudi Islamic bank; founded 2006, retail + corporate + treasury, Alinma Capital subsidiary
Scale (FY25)	Assets SAR 311,067mn · financing SAR 229,747mn · deposits SAR 227,374mn
Profitability (FY25)	Net income SAR 6,397mn (+10%) · ROE 18.7% · ROA 2.18% · NIM ~3.55% · C/I 31.2%
Asset quality	NPL ~1.45% · coverage 150.3% · cost of risk 49bp (from 77bp in 2023)
Capital	CAR 18.0% (Pillar-1 17.7% FY24) · Tier-1 sukuk ~SAR 13.75bn across three issuances (flagged — FS note 11)
Capital action	Jan-2026 1-for-5 bonus: 2,500mn → 3,000mn shares (capital SAR 25bn → 30bn)
Dividend	SAR 0.25/quarter post-bonus (SAR 1.00/yr run-rate) ≈ 4.2% yield · ~47% payout
Strategy	Vision-2030 credit demand, project finance, SME +31% (2023), digital build-out; '2025 strategy' concluded, next phase under way
Listing	Tadawul 1150 · market cap ≈ SAR 71.7bn · among the four largest Saudi banks by market value

1 Fundamental valuation

Instrument class: bank. The lens hierarchy follows the house bank pattern — a dividend discount model as the primary read (banks are valued on distributable earnings under a regulatory capital constraint), a multi-period residual-income build and an equity DCF as genuine cross-checks, relative multiples for the market read, and a normalized floor. Leverage means enterprise-value tools (FCFF, EV/EBITDA) are the wrong instruments here; everything is equity-side.

1.1 Dividend discount model — the primary lens

Five explicit dividend years from the driver build (\$1.7), then a terminal value whose payout is forced consistent with terminal growth: $\text{payout}_t = 1 - g/\text{ROE}_t = 1 - 3.0\%/16.0\% = 81.25\%$. That consistency matters: Alinma retains ~53% today because it is still compounding at ~18–19% ROE; a terminal value that grows dividends at 3% while silently keeping the 47% payout would throw away the retained half of terminal earnings.

SAR / share	FY26e	FY27e	FY28e	FY29e	FY30e	Terminal
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DPS	1.02	1.16	1.31	1.46	1.59	
Discount factor @ Ke	0.914	0.835	0.763	0.697	0.636	
PV of DPS	0.93	0.97	1.00	1.02	1.01	
Terminal payout 1-g/ROE_t						81.2%
Terminal DPS = EPS30×(1+g)×payout_t						2.67
TV = DPS_t/(Ke-g); PV of TV						41.32 → 26.30
DDM fair value						SAR 31.23

Cost of equity, built bottom-up. r_f = 4.8% SAR 10Y — constructed as UST 4.46% plus the Saudi Aa3/CDS spread (0.51–0.98%, Damodaran Jan-2026) because no reliable open SAR sukuk quote was accessible; flagged, replaced by a FTSE SAGBI/iBoxx print at first update. ERP from Damodaran's original file only: 5.0% rating-based (Aa3), 5.7% CDS-based. Beta 0.74 is a genuine regression against TASI ($n=40$, $R^2=0.29$, $SE=0.18$) — it passes the usability gate but the window is short, so the grid is mandatory. Ke corners: 8.5% / 9.0% at regressed beta, 9.8% / 10.5% at beta = 1.0; the base Ke 9.5% is the disclosed four-corner mean, and \$1.10 prices the whole rectangle.

1.2 Discounted cash flow (equity DCF / FCFE)

The bank form of a free-cash-flow build: what the equity could actually distribute after funding growth. FCFE = attributable net income – capital retained to hold CET1 against RWA growth. Same Ke, same terminal g. Full waterfall — never an output-only line:

SAR mn	FY26e	FY27e	FY28e	FY29e	FY30e
NI to common	6,531	7,228	7,999	8,780	9,565
Δ RWA	27,296	28,144	25,987	25,493	24,496
Capital charge (16% × ΔRWA)	4,367	4,503	4,158	4,079	3,919
FCFE	2,164	2,725	3,841	4,701	5,646
PV of FCFE @ Ke	1,977	2,275	2,929	3,275	3,593
TV = FCFE30×(1+g)/(Ke-g), PV					57,322
Equity value → per share (÷3,000mn)					SAR 23.79

FCFE prices lowest of the intrinsic lenses (SAR 23.8) because the growth years consume capital: mid-teens RWA growth at a 16% CET1 target absorbs roughly SAR 3.9–4.4bn a year, leaving near-term distributable cash well below earnings. That is not a flaw — it is the honest price of growth, and it is why the DDM (which credits the retained capital's future ROE explicitly) sits higher.

1.3 Residual income valuation

The EFG-house bank method: value = today's book plus the present value of everything the bank earns above its equity charge. It anchors on the balance sheet, so terminal assumptions do less work than in the DDM — a genuine third method, not a re-arranged second.

SAR / share	FY26e	FY27e	FY28e	FY29e	FY30e
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Opening BVPS	11.50	12.65	13.90	15.26	16.73
EPS	2.18	2.41	2.67	2.93	3.19
Equity charge $K \times BV$	1.09	1.20	1.31	1.44	1.58
Residual income	1.09	1.21	1.35	1.48	1.61
PV of RI	1.00	1.01	1.03	1.03	1.02
Terminal [justified $P/B - 1] \times BV_{30}$, PV					11.82
RI fair value = BV_0 $11.50 + \Sigma PV +$ terminal					SAR 28.41

1.4 Relative multiples

Where the Saudi banks price book against returns (Appendix B carries the full peer set). Alinma's $\sim 2.1\times$ / $\sim 18.7\%$ pairing sits ON the sector's P/B-ROE line — the market already pays for the growth. Our read applies the line's slope at Alinma's ROE with a modest growth-quality premium, cross-checked on forward earnings:

Read	Multiple	Applied to	Fair value
Peer P/B-ROE line at 18.7% ROE	2.30×	BVPS25 11.50	SAR 26.4
Forward P/E (sector growth cohort)	11.5×	EPS FY26e 2.18	SAR 25.0
Blend (equal weight)	—	—	SAR 25.7

1.5 Normalized earnings power — the floor

Strip the growth premium and the regressed beta: at beta = 1.0 on the CDS-based ERP (K_e 10.5%) and a through-cycle 16% ROE, the justified multiple is $(16-3)/(10.52-3) = 1.73\times$ book → SAR 19.9. That is the price at which every generous assumption has been surrendered — the anchor for the bear case, $\sim 17\%$ below spot.

1.6 Synthesis — five lenses

Lens	Bear	Base	Bull	Weight
DDM (primary)	24.5	31.2	41.5	35%
Residual income	22.4	28.4	37.6	20%
Equity DCF (FCFE)	18.9	23.8	31.3	15%
Relative multiples	21.8	25.7	31.0	20%
Normalized floor	17.9	19.9	22.9	10%
Weighted central	24.6	27.3	30.0	100%

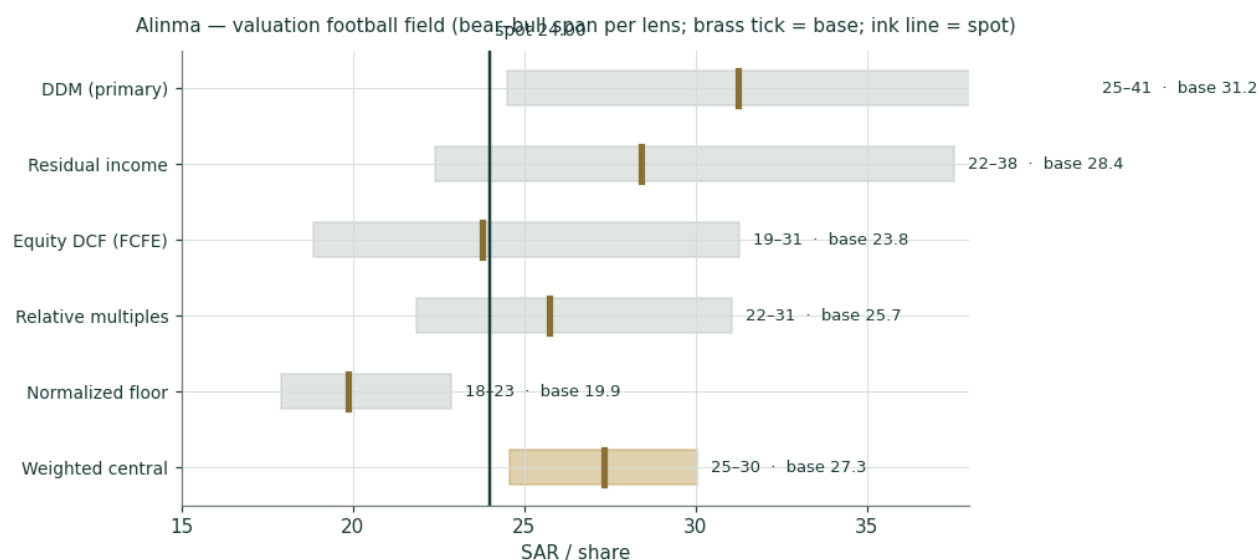


Figure 1 — Valuation football field: bear-bull span per lens; brass tick = base; ink line = spot 24.00.

The bear ends of the intrinsic lenses cluster at SAR 19-22 ($K_e = 11\%$), the bull ends at SAR 29-36 ($K_e = 8\%$). Spot sits in the lower half of the span. Market-implied K_e at $2.1\times$ book and a 16% fade is $\approx 9.2\%$ — comfortably inside our own uncertainty. This study's claim is therefore deliberately modest: the risk-reward is asymmetric to the upside if the ROE glide holds, and the crux is the discount rate, not the earnings forecast.

1.7 The bank driver build — a deeper look

Where the forecast actually comes from. Three linked schedules: the margin engine (volumes $\times$ NIM), the efficiency and risk lines, and the capital that the growth consumes. Every driver is a blue cell in the companion Excel; nothing downstream is hard-coded.

Driver	FY23	FY24	FY25	FY26e	FY27e	FY28e	FY29e	FY30e
Financing growth	—	+15.6%	+13.6%	+13%	+12%	+10%	+9%	+8%
Financing, SAR bn	175.0	202.3	229.7	259.6	290.8	319.8	348.6	376.5
NIM	3.81%	3.70%	3.55%	3.45%	3.40%	3.40%	3.40%	3.40%
NII, SAR mn	7,655	8,649	9,377	10,493	11,569	12,781	13,957	15,114
Cost-to-income	31.3%	30.9%	31.2%	31.5%	31.2%	31.0%	30.8%	30.5%
Cost of risk	77bp	55bp	49bp	50bp	50bp	50bp	50bp	50bp
Payout ratio	~52%	~47%	~47%	47%	48%	49%	50%	50%

The NIM story carries the margin engine. FY23's 3.81% was the rate-cycle peak; deposit competition took 10bp in 2024 and ~15bp in 2025 (management flagged elevated funding costs on the Q1-25 call and cut its own NIM guidance). We glide to 3.45% in FY26 as SAMA follows Fed cuts — asset yields reprice down faster than the large CASA base gives relief — then hold 3.40%: Alinma's Islamic retail franchise (~8% CASA growth) is precisely the funding mix that stabilises margins in a down-rate world.

DuPont decomposition	FY23	FY24	FY25	FY26e	FY27e
Net margin (NI/op. income)	49.8%	53.3%	53.7%	54.8%	55.4%
Asset turn (op. income/assets)	4.42%	4.26%	4.05%	3.94%	3.90%

Leverage (assets/common equity)	8.6×	9.0×	9.4×	9.3×	9.2×
= ROE (common)	17.2%	18.8%	18.7%	18.0%	18.5%

Capital schedule	FY25	FY26e	FY27e	FY28e	FY29e	FY30e
Common equity, SAR mn	34,491	37,962	41,711	45,780	50,179	54,974
RWA, SAR mn	233,300	260,596	288,741	314,728	340,220	364,716
CET1 (common/RWA)	14.8%	14.6%	14.4%	14.5%	14.7%	15.1%
CAR total (reported/est.)	18.0%	18.0%	18.0%	18.1%	18.2%	—
Dividends, SAR mn	3,000	3,060	3,480	3,930	4,380	4,770
Retained, SAR mn	2,894	3,471	3,748	4,069	4,400	4,795

Key earnings drivers, EFG house format — two years back, two forward:

Key earnings drivers	FY24	FY25	FY26e	FY27e
Financing growth	15.6%	13.6%	13.0%	12.0%
Deposit growth	12.1%	8.0%	11.1%	10.2%
NIM	3.70%	3.55%	3.45%	3.40%
NII growth	13.0%	8.4%	11.9%	10.3%
Fee / non-funded growth	10.6%	10.3%	9.0%	9.0%
Revenue growth	12.5%	8.8%	11.3%	10.0%
Opex growth	11.2%	9.8%	12.4%	9.0%
Cost-to-income	30.9%	31.2%	31.5%	31.2%
Cost of risk	55bp	49bp	50bp	50bp
Earnings growth	+20.5%	+9.7%	+10.2%	+10.2%
ROAE (common)	18.8%	18.7%	18.0%	18.1%
ROAA	2.27%	2.18%	2.15%	2.16%
Net profit, reported (SAR mn)	5,832	6,397	7,051	7,768
Net profit, attributable (SAR mn)	5,402	5,894	6,531	7,228

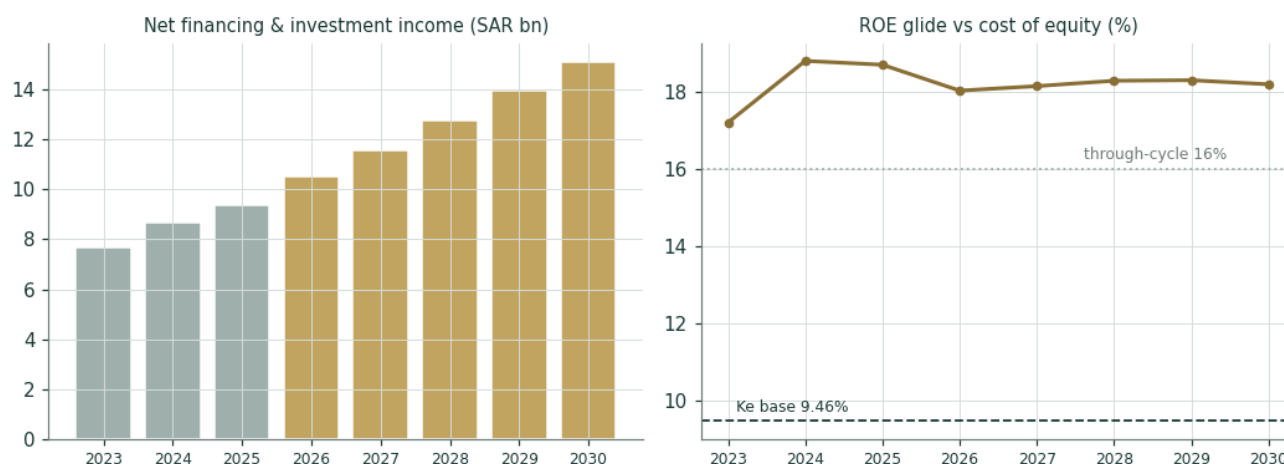


Figure 2 — The margin engine and the return glide: NII history and forecast (left); ROE path against the cost of equity and the 16% through-cycle fade (right).

1.8 The crux — the cost of equity, and the NIM path

Two things swing this valuation, and we sensitise both in their own observable units.

(a) The cost of equity. The regressed beta of 0.74 comes from a short two-month window; a longer sample could easily print closer to 1.0. Each 50bp of Ke moves the DDM roughly SAR 3–4/share:

Ke	8.49%	9.01%	9.46%	10.17%	10.52%	11.0%
DDM fair value	SAR 37.4	SAR 33.8	SAR 31.2	SAR 27.8	SAR 26.3	SAR 24.5
vs spot	+56%	+41%	+30%	+16%	+10%	+2%

(b) The NIM path. Each 10bp of through-forecast NIM is worth ~SAR 290mn of annual NII (~SAR 0.09 of EPS) and ~SAR 1.1–1.3/share of DDM value:

Through-forecast NIM	3.20%	3.30%	3.40% (base)	3.50%	3.60%
FY27e NII, SAR mn	9,987	10,300	10,612	10,924	11,236
FY27e EPS	2.28	2.37	2.46	2.55	2.64
DDM fair value	SAR 28.7	SAR 30.0	SAR 31.2	SAR 32.5	SAR 33.7

Read together: the bear case needs BOTH a beta-1.0 discount rate AND a sub-3.3% NIM to push fair value to spot or below; either alone leaves the stock cheap-to-fair. That is what an asymmetric-but-conditional read looks like in real units.

1.9 Macro and country — SAMA, oil, and Vision 2030

Alinma is a leveraged, Sharia-compliant claim on Saudi non-oil growth. The peg outsources monetary policy: SAMA follows the Fed, so US cuts flow directly into SAIBOR and asset yields (management's FY25 guidance assumed –79bp of 3M SAIBOR). Vision-2030 project finance, mortgage expansion and SME formation drive volume; the fiscal breakeven oil price is the tail risk — a sustained oil slump slows government spending, which is the sector's true credit cycle. Damodaran's Jan-2026 file rates Saudi Aa3 (0.98% CDS): low default risk, non-trivial regional political risk.

Macro input	Level / assumption	Channel into the model
SAMA policy (via Fed)	easing bias FY26	NIM glide 3.55→3.45→3.40%
3M SAIBOR path	~ –80bp guided FY25→26	asset repricing beats funding relief
Oil / fiscal stance	supportive at current prices	financing growth 13→8% fade
USD/SAR peg	3.75 fixed	no FX leg in Ke; rf in SAR terms

Zakat regime	~10.2% effective	held flat through the forecast
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1.10 DDM sensitivity — Ke × terminal growth

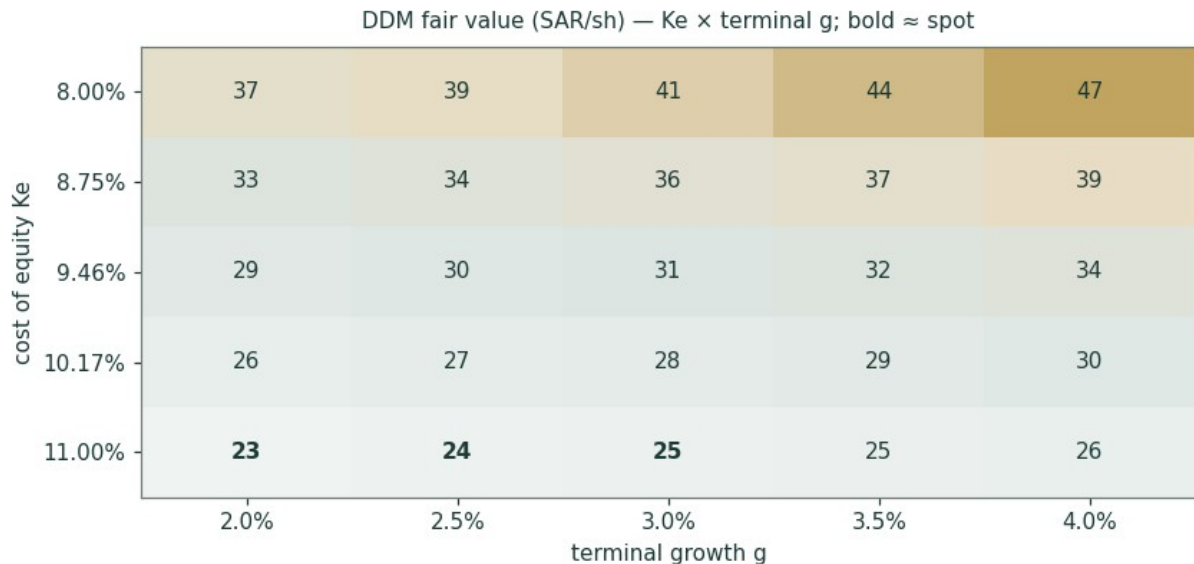


Figure 3 — DDM fair value across the Ke × terminal-g rectangle. Bold cells ≈ spot: the market is pricing roughly Ke 10–10.5% at g 2.5–3.0%.

Ke \ g	2.0%	2.5%	3.0%	3.5%	4.0%
8.00%	37.4	39.3	41.5	44.1	47.4
8.75%	32.7	34.0	35.5	37.3	39.4
9.46%	29.2	30.1	31.2	32.5	33.9
10.17%	26.3	27.0	27.8	28.6	29.7
11.00%	23.5	24.0	24.5	25.1	25.8

2 Technical and price structure

The tape is corrective inside a long advance. Price 24.00 sits below the 20/50/100-day averages with only the 200-day (22.72) still underfoot; the 52-week range is 20.05–25.47, so spot is ~6% off the high after the strong 2025 run. RSI(14) at 11 is neutral-soft, and the MACD histogram (-0.14) is negative but flattening — momentum bleeding out rather than accelerating down.

Indicator	Level	Read
Close (07 Jul 2026)	24.00	—
MA20 / MA50	24.77 / 24.32	price below both — corrective
MA100 / MA200	24.12 / 22.72	below MA100, above MA200 — long trend intact
RSI(14)	11	neutral-soft
MACD (12,26,9)	-0.07 vs signal 0.07 · hist -0.14	bearish, decelerating
52-week range	20.05 – 25.47	spot at the 73th percentile of the range
Support	23.30 / 22.10 / 20.40	prior congestion, MA200, 2025 breakout shelf
Resistance	25.30 / 26.60 / 27.80	MA50 cluster, May pivot, 52-week high



Figure 4 — Price and moving-average stack, last ~22 months: the 2025 advance, the 2026 digestion, and the MA200 as the trend arbiter.

3 Monte Carlo — a probabilistic price map

The probability read — five numbers before anything else:

The probability read (T+60, ~3 months)	Level
Median path	SAR 24.00 (-0.0%)
50% of outcomes inside	SAR 22.82 – 25.24
90% of outcomes inside	SAR 20.76 – 27.70
P(above spot)	50%
P(+10%) / P(-10%)	12% / 10%

Why the median is flat — and why that is a statement, not an absence of one. The v3 engine centres each path on the carry anchor $\ln(1+rf) - \ln(1+q)$: the price of a dividend-payer should drift at the risk-free minus what it pays out. For Alinma, $rf \approx 4.8\%$ and the dividend yield $\approx 4.2\%$ — they cancel almost exactly (-0.04% over the quarter). The expected total return over the next three months is approximately the Saudi risk-free, and it arrives as dividend; the price itself is expected flat, $\pm$ the band. An explained flat, never an unexplained one.

Engine and validation. mc_v3 'carry-anchored YZ-HAR-t': gap-aware Yang-Zhang variance with a pooled log-HAR cascade for width ($\sigma_{60} = 9.7\%$ log), a fitted Student-t(4) aggregate shape, and the carry drift above — the \$1 value gap is deliberately NOT in the drift (lens independence). Step-0 verdict under the market-panel gate: PARITY (CRPS skill -0.009, 90% CI [-0.026, +0.018] vs a carry-anchored random-walk) — a calibrated distribution, market-panel validated; no single-name edge is claimed, and none is needed for a probability map. Saudi names run carry-only until the Tadawul panel reaches ~5 names.

The sixteen-factor overlay, cast for a Saudi bank — continuous factors first:

Continuous factor	Direction	Weight in width
SAMA / Fed rate path	cuts → NIM pressure, bond gains	high
Oil price (fiscal stance)	sustained slump → credit cycle	high
Deposit competition (funding beta)	intensifying → margin drag	medium
TASI beta / index flows	risk sentiment pass-through	medium
Financing growth surprise	project-finance drawdowns	medium
Cost of risk drift	normalisation from 49bp	low-medium
SAR liquidity (LDR, NSFR)	tightening → funding cost	low

Discrete event	Window	Sign
Q2-26 earnings (late July)	inside T+20	±
Fed decision → SAMA follow	Jul / Sep FOMC	±
Quarterly dividend (SAR 0.25)	Aug eligibility	mechanical ex-div
MSCI/FTSE EM flows	Aug/Sep reviews	±
Capital action (T1 refinancing)	opportunistic	neutral-to-+
Vision-2030 project announcements	continuous	+ tail
Oil shock (either direction)	continuous	fat tails
Regulatory levy / zakat change	budget cycle	- tail
Digital-bank competitive entry	FY26	slow burn -

Percentile map at both horizons:

Percentile	T+20 (SAR)	T+60 (SAR)
P5	22.10	20.76
P10	22.61	21.63
P25	23.31	22.82
Median	24.00	24.00
P75	24.70	25.24
P90	25.48	26.63
P95	26.09	27.70
P(above spot)	50%	50%

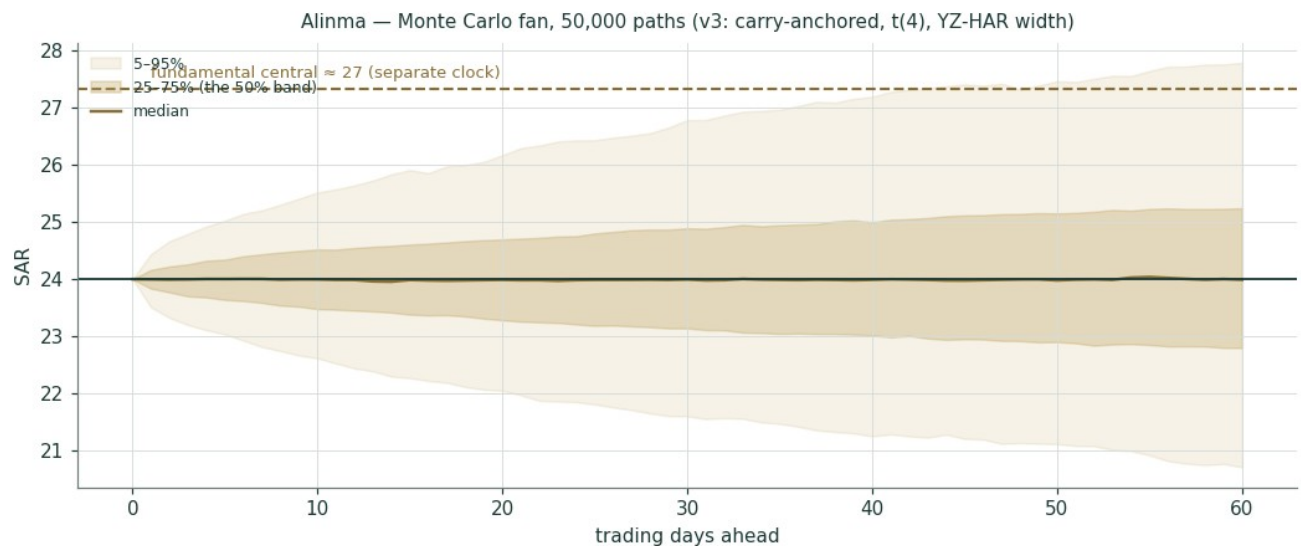


Figure 5 — Monte Carlo fan, 50,000 paths: median ~flat at spot (the carry anchor), 50% band in deep gold, 5-95% in pale gold. The fundamental central is a different clock, drawn only for reference.

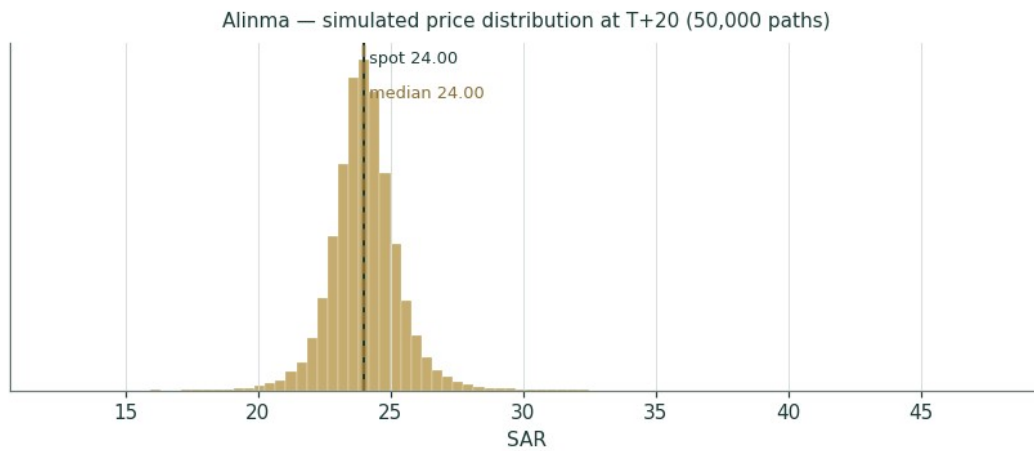


Figure 6 — Simulated price distribution at T+20: width $\approx$ the T+60 band $\div \sqrt{3}$.

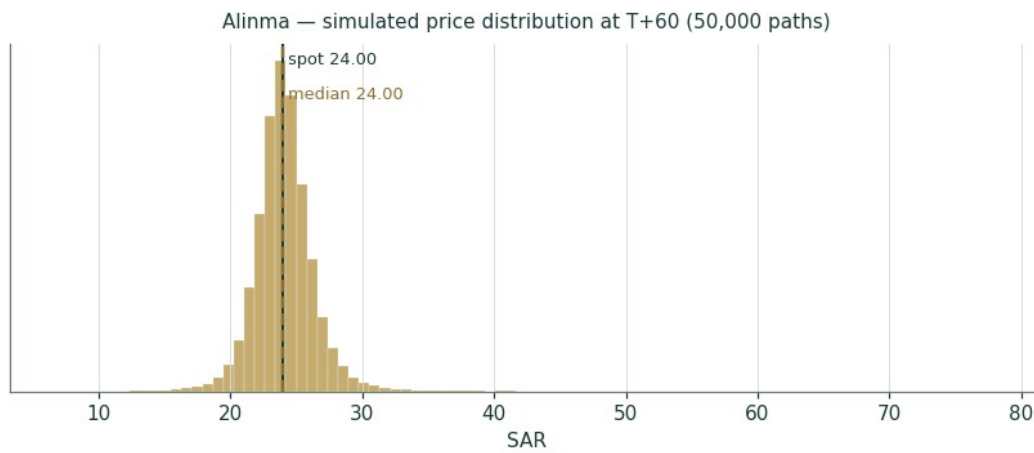


Figure 7 — Simulated price distribution at T+60: fitted $t(4)$ aggregate — fatter tails than a Gaussian at the same variance.

Level-touch probabilities — the chance of trading AT a level at any point inside the horizon (higher than finishing beyond it):

Touch level (up)	T+60 probability
+3%	63%
+5%	47%
+8%	29%
+10%	21%
+15%	10%

Touch level (down)	T+60 probability
-3%	63%
-5%	45%
-8%	26%
-10%	18%
-15%	7%

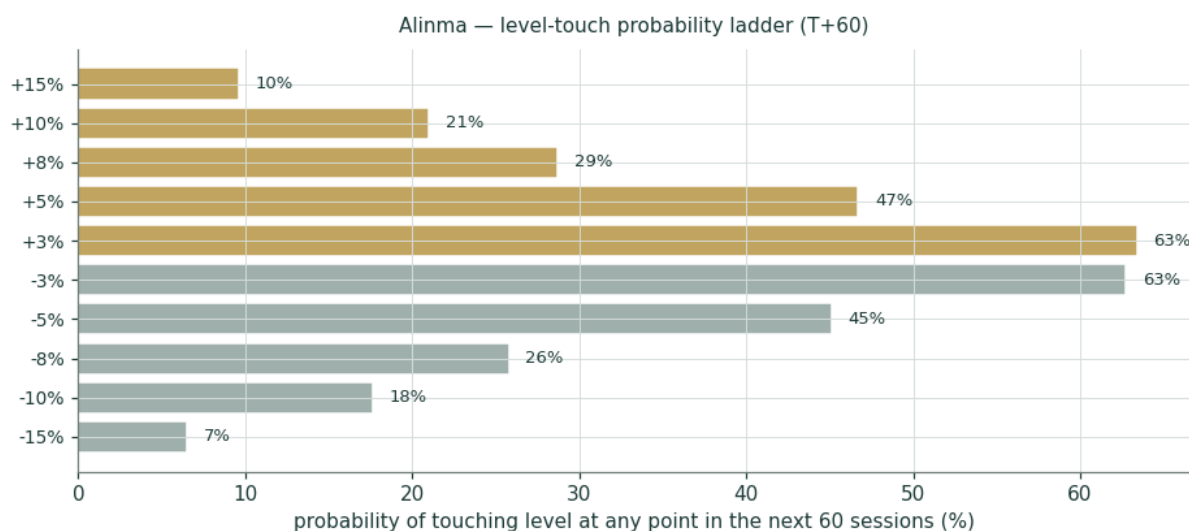


Figure 8 — The touch ladder: near-symmetric around spot, gold up-legs vs sage down-legs, fat in both tails.

4 Comparison of the lenses, and a verdict

Fundamental says SAR ~27.3 conditional on the ROE glide; technical says the tape is digesting under a falling short-MA stack with the long trend intact at MA200; Monte Carlo says the next quarter is a coin flip on price with the return paid as dividend. These are three different clocks and all three can be right at once. The integrated read: a fundamentally cheap-to-fair growth bank in a corrective tape, where patience is literally paid ~1% a quarter to wait. What would make us wrong is not a bad quarter — it is a structural failure of the NIM to stabilise at ~3.4%, or evidence that the market's beta-1.0 discount rate is the correct one (\$7).

Clock	Read	Confidence
Fundamental (~12m)	SAR 24.6–30.0 central band; upside +14%	moderate — Ke-conditional
Technical (weeks)	corrective; 23.3 then 22.1 support, 25.3 first resistance	moderate
Monte Carlo (3m)	median 24.00, 50% band 22.82–25.24	calibrated (parity tier)

5 Catalysts to watch

- **Q2-2026 results (expected late July).** The first clean read on the FY26 NIM guidance against actual SAMA follow-through; Q1-26 net income was ~SAR 1.68bn (+11%).
- **The Fed → SAMA sequence.** Each 25bp cut tests the 3.45% NIM glide from both sides — asset repricing versus CASA relief.
- **Dividend cadence.** SAR 0.25/quarter run-rate; any step-up toward a 50%+ payout is the capital-return signal the DDM already half-prices.
- **Index flows.** MSCI/FTSE EM reviews in August–September; Alinma is a large, liquid Tadawul constituent.
- **Tier-1 refinancing windows.** The ~SAR 13.75bn T1 stack reprices opportunistically; cheaper T1 is a direct EPS-to-common tailwind.

6 Reading the probability zones

Zone (T+60)	Probability	What it would likely mean
Above 26.63 (P90)	~10%	rate-cut euphoria + Q2 beat; premium re-rating toward Al Bilad multiples

25.24–26.63	~15%	Q2 beat, NIM holding; drift back toward the May pivot
24.00–25.24 (median→P75)	~25%	base case: carry accrues, tape stabilises above MA50
22.82–24.00	~25%	soft quarter or index outflows; support at 23.3 holds
21.63–22.82	~15%	NIM miss; test of 22.1 and the MA200
Below 21.63 (P10)	~10%	oil-led risk-off or a credit-cost surprise; the 20.4 shelf is the line

7 Caveats and what would change our mind

What would move us more bearish:

- NIM printing below ~3.35% for two consecutive quarters — the glide failing, not pausing.
- Cost of risk re-normalising toward the 2023 77bp without the volume growth to absorb it.
- Deposit competition forcing funded-cost betas above asset repricing through a full cut cycle.
- A longer-window beta regression printing ≥ 1.0 — validating the market-implied ~9.2–10.5% Ke.

What would move us more bullish:

- Payout stepping to 55–60% with CAR held $\geq 18\%$ — the excess-capital signal the FCFE lens is waiting for.
- NIM stabilising $\geq 3.5\%$ through the first two SAMA cuts — the franchise-quality proof.
- SME/mid-corporate mix continuing to shift yield up without credit-cost payback.

Model caveats:

- rf is a constructed SAR 10Y (UST + Aa3/CDS spread), flagged pending a SAGBI/iBoxx print; the beta window is two months; the Tier-1 sukuk split of total equity (~SAR 13.75bn) is assembled from issuance records and must be tied to FS note 11. All three are Fundamental Driver Ledger rows.
- FY23 financing, total assets and total equity are derived from disclosed growth rates, not read off a statement — labelled as such in Appendix A.
- Step 0 is PARITY, not PASS: the simulation is a calibrated map of uncertainty, market-panel validated; it claims no single-name forecasting edge.

Appendix A Financial statements

A.1 Income statement — 3-year historical + 5-year forecast (consolidated, SAR mn)

SAR mn	FY23	FY24	FY25	FY26e	FY27e	FY28e	FY29e	FY30e
Net financing & investment income	7,655	8,649	9,377	10,493	11,569	12,781	13,957	15,114
Non-funded income	2,071	2,292	2,529	2,756	3,004	3,245	3,504	3,749
Total operating income	9,726	10,940	11,905	13,249	14,574	16,026	17,461	18,864
Operating expenses	3,044	3,384	3,715	4,173	4,547	4,968	5,378	5,753
Cost-to-income	31.3%	30.9%	31.2%	31.5%	31.2%	31.0%	30.8%	30.5%
Impairment (ECL), net	1,300	1,049	1,060	1,223	1,376	1,527	1,671	1,813
Pre-zakat	5,382	6,502	7,126	7,852	8,651	9,531	10,412	11,297

profit								
Zakat (~10.2%)	543	670	729	801	882	972	1,062	1,152
Net income (after zakat)	4,839	5,832	6,397	7,051	7,768	8,559	9,350	10,145
Tier-1 sukuk costs	350	430	503	520	540	560	570	580
NI attributable to common	4,489	5,402	5,894	6,531	7,228	7,999	8,780	9,565
EPS, common (÷3,000mn)	1.50	1.80	1.96	2.18	2.41	2.67	2.93	3.19
EPS as reported (pre-bonus wtd.)	1.81	2.22	2.37	—	—	—	—	—

FY23 zakat and attributable lines derived from disclosed totals; FY25/FY24 P&L per the official Tadawul annual announcement.

A.2 Balance sheet — 3-year historical + 5-year forecast (consolidated, SAR mn)

SAR mn	FY23	FY24	FY25	FY26e	FY27e	FY28e	FY29e	FY30e
Financing, net	175,032	202,308	229,747	259,614	290,768	319,844	348,630	376,521
Investments	43,236	48,625	56,623	62,285	67,890	73,322	79,187	84,731
Total assets	236,600	276,828	311,067	347,462	384,988	419,637	453,627	486,288
Customer deposits	187,901	210,545	227,374	252,499	278,254	301,905	325,001	347,101
Total equity (incl. T1 sukuk)	36,700*	41,442	48,241	51,712	55,461	59,530	63,929	68,724
Common equity (ex T1 ~13,750)	27,950*	32,690*	34,491	37,962	41,711	45,780	50,179	54,974
BVPS, common (÷3,000mn)	9.32	10.90	11.50	12.65	13.90	15.26	16.73	18.32
CET1 (common/RW A @75% density)	15.8%	15.7%	14.8%	14.6%	14.4%	14.5%	14.7%	15.1%

* Derived, not read off a statement: FY23 financing/assets/equity from disclosed growth rates; the common/T1 split from the three known Tier-1 issuances — flagged to FS note 11. Assets/deposits FY26e+ scale at 0.90×/0.85× of financing growth.

A.3 Cash flow — sources & uses of equity capital (SAR mn)

Equity capital walk	FY23	FY24	FY25	FY26e	FY27e	FY28e	FY29e	FY30e
Opening common equity	26,210	27,950	32,690	34,491	37,962	41,711	45,780	50,179
+ NI attributable	4,489	5,402	5,894	6,531	7,228	7,999	8,780	9,565
– Dividends	2,500	2,750	3,000	3,060	3,480	3,930	4,380	4,770
± OCI / treasury /	–249	2,088	–1,093	0	0	0	0	0

other								
Closing common equity	27,950	32,690	34,491	37,962	41,711	45,780	50,179	54,974

Appendix B Peer set, sector structure, and risks

Bank	P/B	P/E	ROE	Note
Al Rajhi	~3.5×	~16×	~23%	Premium Islamic franchise; the sector ceiling
SNB (Saudi National)	~1.4×	~10×	~13%	Largest by assets
Riyad Bank	~1.2×	~8×	~16%	Testahil coverage, 09-Jul-2026 study
Alinma — this study	~2.1×	~11×	~18.7%	Fastest-growing large Islamic bank
Banque Saudi Fransi	~1.1×	~9×	~12%	Corporate-tilted
Arab National Bank	~1.0×	~8×	~12%	Value end of the sector
Al Bilad	~2.0×	~14×	~16%	The closest growth/Islamic comp
Saudi Investment Bank	~0.9×	~8×	~11%	Smallest, deepest discount
GCC — Emirates NBD	~1.0×	~6×	~18%	UAE large-cap context
GCC — QNB	~1.4×	~9×	~18%	Qatar large-cap context

Sector structure. Saudi banking is an oligopoly of ~10 listed names inside a Vision-2030 credit super-cycle: system private-sector credit passed SAR 3.4tn in early 2026, mortgage books built from near-zero in a decade, and the funding constraint (not demand) is the sector's binding limit — hence the deposit war behind everyone's NIM guidance cuts. Alinma's edge is pure-play Islamic positioning with the sector's fastest large-cap growth; its vulnerability is that growth's appetite for funding and capital.

Key risks

- Rate-cycle pass-through compressing NIM below the 3.40% glide.
- ROE fading toward K_e — validating the market discount rather than the intrinsic lenses.
- Credit-quality deterioration if non-oil growth or project-finance discipline slips.
- Funding-cost stickiness: time-deposit mix rising faster than CASA growth offsets.
- Regulatory levy/zakat changes; digital-bank entrants compounding deposit competition.

Appendix C The expert valuation panel

Three orthogonal disciplines from the Testahil persona library, cast for a bank: capital & returns, the credit cycle, and macro-policy-dividend. Labels only — Expert 1/2/3. Each shows workings, sensitises their swing input, cross-examines the other two, and states a falsification condition. Genuinely different methods: agreeing DDMs would be cosmetic.

C.1 Expert 1 — capital, returns and the price of book value

Worldview. A bank is a licence to lever book equity; its worth is book times a multiple set by $(ROE-g)/(K_e-g)$. Works when returns are measurable and capital binds; fails around opaque credit or franchise inflections. The tradition of price-of-book value investing applied through the justified-multiple algebra.

Workings	Value
BVPS, common, FY26e (opening capital compounding through the	12.65

year)	
Through-cycle ROE (fade from 18.7%)	16.0%
Ke — four-corner base	9.46%
Terminal g	3.0%
Justified P/B = $(16-3)/(9.46-3)$	2.01×
Fair value = 2.01×12.66	SAR 25.4

Swing input: through-cycle ROE	14%	15%	16% (base)	17%	18%
Justified P/B	1.70×	1.86×	2.01×	2.17×	2.32×
Fair value (SAR)	21.5	23.5	25.5	27.5	29.4

Cross-examination. Against Expert 2: your 70bp normalised cost of risk is inside my 16% ROE — pricing it twice is double-counting. Against Expert 3: your policy-path Ke belongs in the grid, not stacked on top of a fade that already strips 270bp of ROE. Verdict: SAR ~25.5, modestly cheap. Falsification: two consecutive years of ROE below 15% without a payout step-up — then the fade is 14% and spot is fair.

C.2 Expert 2 — the credit cycle and normalized provisioning

Worldview. Bank earnings are a loan book minus a through-cycle loss rate; today's 49bp is a benign print inside a growth phase, and growth-phase books season. Works at cycle turns; fails by being early in long benign stretches. The provisioning-normalisation school.

Workings (FY26e, normalised)	SAR mn / value
Total operating income (as modelled)	13,249
Operating expenses (as modelled)	4,173
ECL at a through-cycle 70bp (vs 50bp base)	1,713
Pre-zakat, normalised	7,363
NI to common (–10.2% zakat, –T1 520)	6,092
Normalised EPS	2.03
× through-cycle bank multiple 10.5×	SAR 21.3

Swing input: through-cycle CoR	50bp	60bp	70bp (base)	85bp	100bp
Normalised EPS	2.28	2.19	2.10	1.97	1.83
Fair value @10.5×	23.9	23.0	22.1	20.7	19.2

Cross-examination. Against Expert 1: your 2.0× book capitalises a loss rate we have only observed in a boom — my 70bp is what the licence costs across a cycle. Against Expert 3: dividends are the output of provisioning discipline, not an anchor. Verdict: SAR ~22.1, spot roughly fair. Falsification: NPLs holding ≤1.6% and CoR ≤55bp through a full SAMA cut-and-slowdown cycle — then 49bp was structural and I surrender ~SAR 2.5.

C.3 Expert 3 — macro, policy and the dividend

Worldview. In a pegged economy the bank is a rates-and-fiscal instrument: SAMA imports the Fed, oil sets the fiscal impulse, and the dividend is the only cash fact. Value the payment stream under the policy path. Works when policy dominates; fails at idiosyncratic franchise breaks.

Workings	Value
Ke: $r_f 4.80\% + \beta 0.85 \text{ (policy-blend)} \times \text{CDS ERP } 5.72\%$	9.66%

Terminal g under sustained Vision-2030 nominal growth	3.25%
PV of DPS FY26–30 (SAR 1.02 → 1.59)	4.90
PV of terminal (payout_t = 1 – 3.25/16 = 79.7%)	25.80
Fair value	SAR 30.7

Swing input: rf (SAR 10Y)	4.3%	4.55%	4.8% (base)	5.05%	5.3%
Ke	9.16%	9.41%	9.66%	9.91%	10.16%
Fair value (SAR)	31.6	30.1	28.7	27.4	26.2

Cross-examination. Against Expert 1: your Ke is a two-month beta wearing a suit — mine at least names the policy path it assumes. Against Expert 2: your cycle normalisation ignores that the sovereign IS the cycle here; fiscal capacity at current oil prices funds the soft landing your 70bp fears. Verdict: SAR ~28.7, cheap. Falsification: the constructed rf proving 60bp+ too low when a real SAGBI print lands, or the peg's credibility ever pricing into CDS.

C.5 The three in one room

Expert	Method	Fair value	vs spot
Expert 1 — capital & returns	Justified P/B on faded ROE	SAR 25.4	+6%
Expert 2 — credit cycle	Normalised provisioning × through-cycle P/E	SAR 22.1	-8%
Expert 3 — macro-policy-dividend	Policy-path DDM	SAR 30.7	+28%
Panel span	—	SAR ~22.1–28.7	straddles spot

C.6 Reading the divergence

The SAR ~6.6 spread between Expert 2 and Expert 3 is not noise — it measures exactly two things: what a through-cycle loss rate costs (each 20bp of CoR ≈ SAR 1.9 of value at the panel's multiples) and who sets the discount rate (each 50bp of Ke ≈ SAR 2.8). The core lenses of \$1 sit inside the panel's span, and spot sits between Expert 2 and Expert 1. Translation: the market is currently paying the capital-returns price while reserving judgement on the credit cycle — which is a reasonable thing for a market to do, and why our verdict is 'modestly undervalued, conditionally' rather than anything louder.

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